

E-Signature Workflow

Learn how electronic signatures work throughout credit facilities

Overview

E-signatures are used throughout the credit facility workflow to digitally sign important documents, enabling a complete digital process without paper documents. Electronic signatures are legally binding and provide complete traceability of who signed what and when. Understanding the e-signature workflow helps you navigate the signing process for term sheets, master commitments, and funding notices.

Workflow Overview

The e-signature workflow spans multiple stages of the credit facility process. Borrowers sign term sheets before submission, lenders sign master commitments to approve facilities, and facility agents sign funding notices for each lender. Each signing stage has specific requirements and outcomes, and signatures are tracked individually with complete audit trails. The workflow ensures proper authorization and documentation at each critical stage.

Key Stages

Stage 1: Term Sheet Signing (Borrowers) - Borrowers electronically sign term sheets before submitting them for facility agent review. Signing is required before submission, and the signature is recorded with timestamp. After signing, term sheets can be submitted, and status updates to BorrowerSigned.

Stage 2: Master Commitment Signing (Lenders) - Lenders electronically sign master commitments to approve facilities. Any lender approval activates the facility, and signatures are recorded individually. After signing, facilities become active, and borrowers can create funding requests.

Stage 3: Funding Notice Signing (Facility Agents) - Facility agents sign funding notices for each lender individually. Each lender's signature is tracked separately, and the system tracks overall completion. After signing, borrowers can approve token transfers, making notices visible to lenders.

Stage 4: Signature Verification - After each signing, signatures are verified and recorded. Signed documents are stored securely, and signature status is visible to all parties. Status updates reflect signature completion.

Stage 5: Document Progression - After signatures are complete, documents can progress to next stages. Term sheets can be submitted, master commitments activate facilities, and funding notices become visible to lenders. Signatures enable workflow progression.

How the Workflow Progresses

Term Sheet Signing Flow - Borrowers complete term sheets, then sign electronically. After signing, term sheets can be submitted to facility agents. Facility agents review signed term sheets and make decisions. If approved, master commitments are automatically created.

Master Commitment Signing Flow - Facility agents configure master commitments, then submit for lender approval. Lenders review and sign to approve facilities. Any lender signature activates the facility. After activation, borrowers can create funding requests.

Funding Notice Signing Flow - After tokens are generated, facility agents sign funding notices for each lender individually. Each lender's signature is tracked separately. After all signatures are complete, borrowers can approve token transfers. Lenders can then review and approve drawdowns.

Signature Tracking - Throughout the workflow, signatures are tracked with complete details including who signed, when they signed, and what document was signed. This creates complete audit trails for compliance and accountability.

Status Updates - After each signing stage, document status updates to reflect signature completion. Term sheets show BorrowerSigned, master commitments show Active after lender approval, and funding notices track per-lender signature status.

Document Storage - All signed documents are stored securely and can be retrieved for audit purposes. Signed versions are preserved, and signature history is maintained for complete traceability.

Important Points to Know

Legally Binding - Electronic signatures are legally binding and enforceable. Once signed, documents are legally valid, and signatures cannot be easily reversed.

Required Before Progression - Signatures are required before documents can progress to next stages. Unsigned documents cannot move forward in the workflow, ensuring proper authorization at each stage.

Multiple Signatures May Be Required - Some documents require multiple signatures from different parties. Term sheets need borrower signatures, master commitments need lender signatures, and funding notices need facility agent signatures for each lender.

Tracked with Timestamps - Every signature is recorded with who signed and when, creating complete audit trails. Signature details are visible to authorized parties and support compliance requirements.

Stored Securely - All signed documents are stored securely and can be retrieved for audit purposes. Signed versions are preserved, and signature history is maintained for complete traceability.

Status Reflects Completion - Document status updates to reflect signature completion. You can see signature status and completion for all parties, helping you track progress through the workflow.

Re-signing May Be Required - If documents are modified significantly, re-signing may be required. This ensures signatures reflect current document content and maintains legal validity.

Per-Lender Tracking - For funding notices, facility agents sign for each lender individually, with each lender's signature status tracked separately. This ensures proper documentation for each lender's participation.

Enables Workflow Progression - Signatures enable documents to progress through the workflow. Understanding when signatures are required helps you know what needs to happen next.

Understanding the e-signature workflow helps you complete documents digitally, move through the credit facility process efficiently, ensure all required signatures are obtained for legal validity and compliance, and track signature status throughout the workflow.